V

Having concluded that § 2 does not confer limitless authority to regulate the alcohol trade, we now apply the § 2 analysis dictated by the provision's history and our precedents.

If we viewed Tennessee's durational-residency requirements as a package, it would be hard to avoid the conclusion that their overall purpose and effect is protectionist. Indeed, two of those requirements—the 10-year residency requirement for license renewal and the provision that shuts out all publicly traded corporations—are so plainly based on unalloyed protectionism that neither the Association nor the State is willing to come to their defense. The provision that the Association and the State seek to preserve—the 2-year residency requirement for initial license applicants—forms part of that scheme. But we assume that it can be severed from its companion provisions, see 883 F. 3d, at 626–628, and we therefore analyze that provision on its own.

Since the 2-year residency requirement discriminates on its face against nonresidents, it could not be sustained if it applied across the board to all those seeking to operate any retail business in the State. Cf. *C & A Carbone, Inc.* v. *Clarkstown*, 511 U. S. 383, 391–392 (1994); *Lewis* v. *BT Investment Managers, Inc.*, 447 U. S. 27, 39 (1980). But because of § 2, we engage in a different inquiry. Recognizing that § 2 was adopted to give each State the authority to address alcohol-related public health and safety issues in accordance with the preferences of its citizens, we ask whether the challenged requirement can be justified as a public health or safety measure or on some other legitimate nonprotectionist ground. Section 2 gives the States regulatory authority that they would not otherwise enjoy, but as we pointed out in *Granholm*, "mere speculation" or "unsupported assertions" are insufficient to sustain a law that would otherwise violate the Commerce Clause. 544 U. S., at 490, 492. Where the predominant effect of a law is protectionism, not the protection of public health or safety, it is not shielded by § 2.

The provision at issue here expressly discriminates against nonresidents and has at best a highly attenuated relationship to public health or safety. During the course of this litigation, the Association relied almost entirely on the argument that Tennessee's residency requirements are simply "not subject to Commerce Clause challenge," 259 F. Supp. 3d, at 796, and the State itself mounted no independent defense. As a result, the record is devoid of any "concrete evidence" showing that the 2-year residency requirement actually promotes public health or safety; nor is there evidence that nondiscriminatory alternatives would be insufficient to further those interests. *Granholm, supra,* at 490; see 883 F. 3d, at 625–626.

In this Court, the Association has attempted to defend the 2-year residency requirement on public health and safety grounds, but this argument is implausible on its face. The Association claims that the requirement ensures that retailers are "amenable to the direct process of state courts," Brief for Petitioner 48 (internal quotation marks omitted), but the Association does not explain why this objective could not easily be achieved by ready alternatives, such as requiring a nonresident to designate an agent to receive process or to consent to suit in the Tennessee courts. See *Cooper* v. *McBeath,* 11 F. 3d 547, 554 (CA5 1994).

Similarly unpersuasive is the Association's claim that the 2-year requirement gives the State a better opportunity to determine an applicant's fitness to sell alcohol and guards against "undesirable nonresidents" moving into the State for the purpose of operating a liquor store. Brief for Petitioner 10 (internal quotation marks omitted). The State can thoroughly investigate applicants without requiring them to reside in the State for two years before obtaining a license. Tennessee law already calls for criminal background checks on all applicants, see Tenn. Code Ann. § 57–3–208, and more searching checks could be demanded if necessary. As the Fifth Circuit observed in a similar case, "[i]f [the State] desires to scrutinize its applicants thoroughly, as is its right, it can devise nondiscriminatory means short of saddling applicants with the 'burden' of residing" in the State. *Cooper*, *supra*, at 554.

The 2-year residency requirement, in any event, poorly serves the goal of enabling the State to ensure that only law-abiding and responsible applicants receive licenses. As the Tennessee attorney general explained, if a nonresident moves to the State with the intention of applying for a license once the 2-year period ends, the TABC will not necessarily have any inkling of the future applicant's intentions until that individual applies for a license, and consequently, the TABC will have no reason to begin an investigation until the 2-year period has ended. App. to Brief in Opposition 17a. And all that the 2-year requirement demands is residency. A prospective applicant is not obligated during that time "to be educated about liquor sales, submit to inspections, or report to the State." *Ibid.*

The 2-year residency requirement is not needed to enable the State to maintain oversight over liquor store operators. In *Granholm*, it was argued that the prohibition on the shipment of wine from out-of-state sources was justified because the State could not adequately monitor the activities of nonresident entities. Citing "improvements in technology," we found that argument insufficient. 544 U. S., at 492. See also *Cooper*, *supra*, at 554 ("In this age of split-second communications by means of computer networks . . . there is no shortage of less burdensome, yet still suitable, options"). In this case, the argument is even less persuasive since the stores at issue are physically located within the State. For that reason, the State can monitor the stores' operations through on-site inspections, audits, and the like. See § 57–3–104. Should the State conclude that a retailer has "fail[ed] to comply with state law," it may revoke its operating license. *Granholm*, 544 U. S., at 490. This "provides strong incentives not to sell alcohol" in a way that threatens public health or safety. *Ibid.*

In addition to citing the State's interest in regulatory control, the Association argues that the 2-year residency requirement would promote responsible alcohol consumption. According to the Association, the requirement makes it more likely that retailers will be familiar with the communities served by their stores, and this, it is suggested, will lead to responsible sales practices. Brief for Petitioner 48–49. The idea, it seems, is that a responsible neighborhood proprietor will counsel or cut off sales to patrons who are known to be abusing alcohol, who manifest the effects of alcohol abuse, or who perhaps appear to be purchasing too much alcohol. No evidence has been offered that durational-residency requirements actually foster such sales practices, and in any event, the requirement now before us is very poorly designed to do so.

For one thing, it applies to those who hold a license, not to those who actually make sales. For another, it requires residence in the State, not in the community that a store serves. The Association cannot explain why a proprietor who lives in Bristol, Virginia, will be less knowledgeable about the needs of his neighbors right across the border in Bristol, Tennessee, than someone who lives 500 miles away in Memphis. And the rationale is further undermined by other features of Tennessee law, particularly the lack of durational-residency requirements for owners of bars and other establishments that sell alcohol for on-premises consumption. § 57–4–201.

Not only is the 2-year residency requirement ill suited to promote responsible sales and consumption practices (an interest that we recognize as legitimate, contrary to the dissent's suggestion, *post*, at 551–552, 554, 556), but there are obvious alternatives that better serve that goal without discriminating against nonresidents. State law empowers the relevant authorities to limit both the number of retail licenses and the amount of alcohol that may be sold to an individual. Cf. § 57–3–208(c) (permitting local governments to "limit . . . the number of licenses issued within their jurisdictions"); § 57–3–204(d)(7)(C) (imposing volume limits on certain sales of alcohol to patrons); Rules of TABC, ch. 0100–01, § 0100–01–.03(15) (2018) (same). The State could also mandate more extensive training for managers and employees and could even demand that they demonstrate an adequate connection with and knowledge of the local community. Cf., *e. g.*, Tenn. Code Ann. § 57–3–221 (requiring managers of liquor stores to obtain permits, satisfy background checks, and undergo "alcohol awareness" training). And the State of course remains free to monitor the practices of retailers and to take action against those who violate the law.

Given all this, the Association has fallen far short of showing that the 2-year durational-residency requirement for license applicants is valid. Like the other discriminatory residency requirements that the Association is unwilling to defend, the predominant effect of the 2-year residency requirement is simply to protect the Association's members from out-of-state competition. We therefore hold that this provision violates the Commerce Clause and is not saved by the Twenty-first Amendment.[22]

* * *

The judgment of the Court of Appeals for the Sixth Circuit is affirmed.

It is so ordered.

[22] Our analysis and conclusion apply as well to the provision requiring all officers and directors of corporate applicants to satisfy the 2-year residency requirement. See 883 F. 3d, at 623.

JUSTICE GORSUCH, with whom JUSTICE THOMAS joins, dissenting.

Alcohol occupies a complicated place in this country's history. Some of the founders were enthusiasts; Benjamin Franklin thought wine was "proof that God loves us." Letter from B. Franklin to A. Morellet (July 1779), in 7 Writings of Benjamin Franklin 437 (A. Smyth ed. 1907). Many in the Prohibition era were decidedly less enamored; they saw "liquor [a]s a lawlessness unto itself." *Duckworth* v. *Arkansas*, 314 U. S. 390, 398 (1941) (Jackson, J., concurring in result). Over time, the people have adopted two separate constitutional Amendments to adjust and then readjust alcohol's role in our society. But through it all, one thing has always held true: States may impose residency requirements on those who seek to sell alcohol within their borders to ensure that retailers comply with local laws and norms. In fact, States have enacted residency requirements for at least 150 years, and the Tennessee law at issue before us has stood since 1939. Today and for the first time, the Court claims to have discovered a duty and power to strike down laws like these as unconstitutional. Respectfully, I do not see it.

Start with the text of the Constitution. After the Nation's failed experiment with Prohibition, the people assembled in conventions in each State to adopt the Twenty-first Amendment. In § 1, they repealed the Eighteenth Amendment's nationwide prohibition on the sale of alcohol. But in § 2, they provided that "[t]he transportation or importation into any State . . . for delivery or use therein of intoxicating liquors, in violation of the laws thereof, is hereby prohibited." The Amendment thus embodied a classically federal compromise: Nationwide prohibition ended, but States gained broad discretion to calibrate alcohol regulations to local preferences. And under the terms of this compromise, Tennessee's law imposing a two-year residency requirement on those who seek to sell liquor within its jurisdiction would seem perfectly permissible.[1]

Of course, § 2 does not immunize state laws from *all* constitutional claims. Everyone agrees that state laws must still comply with, say, the First Amendment or the Equal Protection Clause. *Ante*, at 518–520. But the challenge before us isn't based on any constitutional provision like that. Instead, we are asked to decide whether Tennessee's residency requirement impermissibly discriminates against out-of-state residents and recent arrivals in violation of the "dormant Commerce Clause" doctrine. And that doctrine is a peculiar one. Unlike most constitutional rights, the dormant Commerce Clause doctrine cannot be found in the text of any constitutional provision but is (at best) an implication from one. Under its banner, this Court has sometimes asserted the power to strike down state laws that discriminate against nonresidents on the ground that they usurp the authority to regulate interstate commerce that the Constitution assigns in Article I to Congress. But precisely because the Constitution assigns *Congress* the power to regulate interstate commerce, that body is free to rebut any implication of unconstitutionality that might otherwise arise under the dormant Commerce Clause doctrine by authorizing States to adopt laws favoring in-state residents. *Prudential Ins. Co.* v. *Benjamin*, 328 U. S. 408, 434–436 (1946).

And that's exactly what happened here. In the Webb-Kenyon Act of 1913, Congress gave the States wide latitude

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[1] The Court suggests that Tennessee's residency requirement may fall outside the terms of the Amendment because retailers may not be involved in the "transportation or importation" of liquor into the State. *Ante*, at 534. But the parties do not dispute that "transportation or importation" into the State is involved here. And understandably so: Unless the liquor stores intend to sell only Tennessee-made liquor (and no one so alleges), it is hard to see how transportation or importation would not be involved.

to restrict the sale of alcohol within their borders. See 37 Stat. 699 (codified at 27 U. S. C. § 122). Not only is that law still on the books today, § 2 of the Twenty-first Amendment closely "followed the wording of the 1913 Webb-Kenyon Act." *Ante*, at 519, n. 5. Accordingly, the people who adopted the Amendment naturally would have understood it to constitutionalize an "exception to the normal operation of the [dormant] Commerce Clause." *Craig* v. *Boren*, 429 U. S. 190, 206 (1976). After all, what Congress can do by statute "surely the people may do . . . through the process of amending our Constitution." *Granholm* v. *Heald*, 544 U. S. 460, 494 (2005) (Stevens, J., dissenting). So in this area, at least, we should not be in the business of imposing our own judge-made "dormant Commerce Clause" limitations on state powers.

What the relevant constitutional and statutory texts suggest, history confirms. Licensing requirements for the sale of liquor are older than the Nation itself. Byse, Alcoholic Beverage Control Before Repeal, 7 Law & Contemp. Prob. 544, 544–547 (1940). Colonial authorities generally allowed sales only by those who were deemed " 'fit and suitable' " and who agreed to post a bond conditioned upon compliance with local regulations. *Id.*, at 545. States started adopting residency requirements as early as 1834, when New Hampshire began requiring any person who sold liquor "in any quantity less than one gallon" to obtain a license "from the selectmen of the town or place where such person resides." *State* v. *Adams*, 6 N. H. 532, 533 (1834). In 1845, Missouri adopted a law nearly identical to the Tennessee statute now before us, requiring those seeking to sell liquor to have resided in the State for two years. Mo. Rev. Stat. app., p. 1099. In the decades that followed, several other States and Territories followed suit and enacted laws like Tennessee's.[2]

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[2] See, *e. g.*, 1859 Neb. Terr. Laws p. 256; Iowa Code § 1575 (1860); 1875 Pa. Laws p. 42; N. Y. Rev. Stat., ch. 29, § 23 (1896); S. C. Code Ann. § 562 (1902); Minn. Stat. § 1529 (1905); R. I. Gen. Laws, ch. 123, § 2 (1909); 1911 Ala. Acts no. 259; Neb. Rev. Stat. § 3844 (1913); Ind. Code § 8323(e) (1914).

At the time these residency requirements were adopted they were widely understood to be constitutional, and courts generally upheld them against legal challenges. H. Black, Laws Regulating the Manufacture and Sale of Intoxicating Liquors § 30, pp. 39–40, and n. 33 (1892) (collecting cases). Indeed, in the mid-19th century this Court "recognized a broad authority in state governments to regulate the trade of alcoholic beverages within their borders free from implied restrictions under the Commerce Clause." *Craig*, 429 U. S., at 205 (citing the *License Cases*, 5 How. 504, 579 (1847)).

Things became more contentious only toward the end of the 19th century. By then, this Court had begun to take a more muscular approach to the dormant Commerce Clause and started using that implied doctrine to strike down state laws that restricted the sale of imported liquor. See *Bowman* v. *Chicago & Northwestern R. Co.*, 125 U. S. 465 (1888); *Leisy* v. *Hardin*, 135 U. S. 100 (1890). But this judicial activism did not go unnoticed, and in 1890 Congress responded by passing the Wilson Act. Ch. 728, 26 Stat. 313 (codified at 27 U. S. C. § 121). That law sought to bolster the authority of States to regulate the distribution of liquor within their borders by providing that liquor shipped into a State would "upon arrival in such State . . . be subject to the operation and effect of the laws of such State . . . to the same extent and in the same manner as though such [liquor] had been produced in such State."

Still, the Court did not seem to get the message. A second wave of dormant Commerce Clause attacks on state laws soon followed, and in the process they highlighted some of the Wilson Act's limitations. In *Scott* v. *Donald*, 165 U. S. 58 (1897), the Court addressed South Carolina's state monopoly system for the sale of liquor, which required state agents to favor domestic products and prohibited consumers from receiving out-of-state shipments for personal use. The Court held that this system unconstitutionally discriminated in favor of domestic products "as against similar products of the other States." *Id.*, at 101. Citing the text of the Wilson Act, including the phrase "to the same extent and in the same manner," the Court emphasized that the Act did not go so far as to authorize States to "discriminate injuriously against the products of other States." *Id.*, at 100. Then, in *Rhodes* v. *Iowa*, 170 U. S. 412 (1898), the Court further curbed the States' authority to restrict liquor distribution by construing the Wilson Act's phrase "upon arrival in such State" to mean arrival at the purchaser's address, rather than arrival within the State's borders. *Id.*, at 421, 426; see also *Vance* v. *W. A. Vandercook* Co., 170 U. S. 438 (1898).

Once more, however, Congress stepped in to repudiate this Court's decisions, this time in unmistakably sweeping language. In the Webb-Kenyon Act of 1913, Congress went so far as to "[take] the protection of interstate commerce *away*" from the distribution of liquor within a State's borders. *Clark Distilling Co.* v. *Western Maryland R. Co.*, 242 U. S. 311, 325 (1917) (emphasis added). The language Congress used could not have been plainer: The Act "prohibited" any "shipment or transportation" of alcoholic beverages "into any State" when they are "intended, by any person interested therein, to be received, possessed, sold, or in any manner used . . . in violation of any law of such State." 27 U. S. C. § 122. Within a few years, the Court conceded the Webb-Kenyon Act's constitutionality, acknowledging along the way that the law was designed to—and did—"prevent the immunity characteristic of interstate commerce from being used to permit the receipt of liquor through such commerce in States contrary to their laws." *Clark Distilling*, 242 U. S., at 324.[3]

[3] The Court cites a few pre-Prohibition cases—from one federal district court and two state courts—that, it says, construed Webb-Kenyon to preserve a rule against discrimination. *Ante*, at 527, n. 12. But these cases offer negligible support. True, two cases construed the Act's authorization of "any laws" as limited to "valid laws," a category from which these courts excluded laws discriminating against the products of other States.

This history bears special relevance because everyone agrees that, whatever other powers § 2 grants the States, at a minimum it " 'constitutionaliz[ed]' " the similarly worded Webb-Kenyon Act. *Ante*, at 519, n. 5, 528. Nor can there be much doubt how most everyone understood the terms of the Act and the Amendment that embodied it. Because "centralized regulation did not work," the Twenty-first Amendment both ended nationwide prohibition in § 1 and authorized local control in § 2. Yablon, The Prohibition Hangover: Why We Are Still Feeling the Effects of Prohibition, 13 Va. J. Soc. Pol'y & L. 552, 584 (2006). As a leading study noted at the time, "it was a mistake to regard the United States as a single community in which a uniform policy of liquor control could be enforced." R. Fosdick & A. Scott, Toward Liquor Control 10 (1933) (Fosdick & Scott). Ours is a vast and diverse Nation, and those who adopted the Amendment believed that what works for one State may not work for another. Consistent with this widespread public understanding of the Amendment's terms, at least 18 States adopted residency requirements for retailers within the first 15 years after its ratification.[4]

See *Evansville Brewing Assn.* v. *Excise Comm'n of Jefferson Cty., Ala.*, 225 F. 204, 208 (ND Ala. 1915); *Brennen* v. *Southern Express Co.*, 106 S. C. 102, 108–111, 90 S. E. 402, 404 (1916). But there is little reason to think courts would have considered residency requirements for liquor retailers "invalid," as those laws had generally been upheld prior to Webb-Kenyon. And at least one of the cited cases appears to support the opposite view: "[A]ll commands or prohibitions ancillary and reasonably related to the state's purpose to promote temperance . . . cannot be thwarted or annulled on any idea that constitutional rights are thereby violated." *Southern Express Co.* v. *Whittle*, 194 Ala. 406, 436, 69 So. 652, 661 (1915). At any rate, a few scattered, thinly reasoned state and district court cases hardly settle anything.

[4] *Granholm* v. *Heald*, 544 U. S. 460, 518, and n. 6 (2005) (THOMAS, J., dissenting) (collecting state statutes); Brief for Petitioner 33–34 (same). See also Note, Economic Localism in State Alcoholic Beverage Laws—Experience Under the Twenty-first Amendment, 72 Harv. L. Rev. 1145, 1148–1149, and n. 25 (1959). At least 10 States, including Tennessee, re-

This Court's initial cases also reflected the same understanding of the Amendment's effect. Just a few years after ratification, a unanimous Court upheld discriminatory state liquor laws against a dormant Commerce Clause attack, explaining that "to construe the Amendment as saying, in effect: [the State] must let imported liquors compete with the domestic on equal terms . . . would involve not a construction of the Amendment, but a rewriting of it." *State Bd. of Equalization of Cal.* v. *Young's Market Co.*, 299 U. S. 59, 62 (1936). Other early cases reached similar conclusions. See, *e. g.*, *Mahoney* v. *Joseph Triner Corp.*, 304 U. S. 401, 403 (1938) ("[D]iscrimination against imported liquor is permissible"); *Indianapolis Brewing Co.* v. *Liquor Control Comm'n*, 305 U. S. 391, 394 (1939) ("Whether the Michigan law should not more properly be described as a protective measure, we have no occasion to consider," for "whatever its character, the law is valid"). In short, this Court "recognized from the start" that the Twenty-first Amendment allowed the States to regulate alcohol " 'unfettered by the Commerce Clause.' " *Granholm*, 544 U. S., at 517 (THOMAS, J., dissenting).[5]

Straying from the text, state practice, and early precedent, and leaning instead on the Amendment's famously sparse legislative history, the Court says it can find no evi-

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quired a fixed period of residency of one year or more. Brief for Petitioner 34 (collecting statutes).

[5] The Court discounts the compelling evidence of postratification practice because, it suggests, States may have been relying on the Court's expansive interpretation of §2 in *State Bd. of Equalization of Cal.* v. *Young's Market Co.*, 299 U. S. 59 (1936), rather than their own independent understanding of the Amendment. *Ante*, at 536. But most of the residency requirements were enacted *before* that November 1936 decision. Although many of the statutes were *codified* after *Young's Market*, a large majority were *enacted* earlier. Compare, *e. g.*, Wyo. Stat. Ann. §53–204 (1945); Idaho Code Ann. §18–130 (1940); R. I. Gen. Laws, ch. 163 §4 (1938); N. J. Rev. Stat. §33:1–25 (1937), with 1935 Wyo. Sess. Laws ch. 87; 1935 Idaho Sess. Laws ch. 103; 1934 R. I. Laws p. 52; 1933 N. J. Laws p. 1193.

dence that § 2 was *intended* to authorize "protectionist" state laws. *Ante*, at 528, 529–530, n. 15. But even there plenty of evidence can be found that those who ratified the Amendment wanted the States to be able to regulate the sale of liquor free of judicial meddling under the dormant Commerce Clause—and there is no evidence they wanted judges to have the power to decide that state laws restricted competition "too much."[6] After all, both before Prohibition and after repeal, robust competition in the liquor industry was far from universally considered an unalloyed good; lower prices enabled higher consumption and invited social problems along the way. T. Pegram, Battling Demon Rum 94–96 (1998); Fosdick & Scott 43–44, 81. The point of § 2 was to allow each State the opportunity to assess for itself the costs and benefits of free trade in alcohol. Reduced competition and increased prices were foreseeable consequences of allowing such unfettered state regulation, but they were conse-

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[6] See, *e. g.*, 76 Cong. Rec. 4143 (1933) (statement of Sen. Blaine) ("The purpose of section 2 is to restore to the States by constitutional amendment absolute control in effect over interstate commerce affecting intoxicating liquors"); *id.*, at 4225 (statement of Sen. Swanson) ("[I]t is left entirely to the States to determine in what manner intoxicating liquors shall be sold or used and to what places such liquors may be transported"); Ratification of the Twenty-First Amendment to the Constitution of the United States: State Convention Records and Laws 50 (E. Brown ed. 1938) (statement of President Robinson of the Connecticut convention) ("[F]undamentally our fight has been . . . for the return to the peoples of the several states of their constitutional right to govern themselves in their internal affairs"); *id.*, at 174 (statement of Del. Simmons to the Kentucky convention) ("The regulation of the sale of liquor is a state concern"); *id.*, at 247 (statement of Mme. Chairman Gaylord of the Missouri convention) ("We have never been in favor of a National Regulation to take the place of the 18th Amendment . . . . We believe that each state should work out sane and sensible liquor control measures, responsive to the sentiment of the people of each state"); *id.*, at 322 (statement of Gov. White of Ohio) ("[T]he control of intoxicating liquors presents a problem of first magnitude," and "[t]he solution of the problem will be returned to the several states").

quences the people willingly accepted with the compromise of the Twenty-first Amendment.[7]

That leaves only our modern precedent to consider—and even here the initial returns support Tennessee. In *Hostetter* v. *Idlewild Bon Voyage Liquor Corp.*, 377 U. S. 324 (1964), for example, this Court addressed a New York law that interfered with the federally regulated sale of alcohol to passengers departing from an airport, which the passengers would not receive until they arrived at their "foreign destination." *Id.*, at 325. Emphasizing that "ultimate delivery and use" was "in a foreign country," this Court held that the Twenty-first Amendment did not permit New York to "prevent transactions carried on under the aegis of a law passed by Congress in the exercise of its explicit power under the Constitution to regulate commerce with foreign nations." *Id.*, at 333–334. But at the same time, the Court took pains to reassure everyone that the States' core authority to "restrict, regulate, or prevent the traffic and distribution of intoxicants within [their] borders" remained "unquestioned" and "unconfined" by the dormant Commerce Clause. *Id.*, at 330; see also *Capital Cities Cable, Inc.* v. *Crisp*, 467 U. S. 691, 713 (1984) (describing "the core § 2 power" as a State's authority "directly to regulate the sale or use of liquor within its borders").

Consistent with that understanding, this Court in *Heublein, Inc.* v. *South Carolina Tax Comm'n*, 409 U. S. 275 (1972), unanimously upheld a South Carolina law permitting

[7] The majority worries that giving full effect to § 2 might allow a State to pass a statute restricting licenses to persons whose ancestors have resided in the State for 200 years. *Ante*, at 529–530, n. 15. But under parts of the Constitution that § 2 left intact, such as the Equal Protection and Due Process Clauses, any state law must bear a rational relationship to a legitimate state interest. Besides and understandably, the evidence before us suggests that the people who ratified § 2 weren't as concerned with States adopting fanciful laws like the majority's as they were with eliminating a very real threat—that judges would continue to use the dormant Commerce Clause to meddle with state regulatory authority.

producers to transfer liquor to in-state wholesalers only through "resident representative[s]." *Id.*, at 277. Because the requirement was an "appropriate element in the State's system" of regulating the sale of alcohol "'within its borders,'" this Court held that the State could enforce it "'unconfined by traditional Commerce Clause limitations.'" *Id.*, at 283 (quoting *Hostetter*, 377 U. S., at 330). To be sure, in even later cases the Court declined to uphold state laws that, in substantial effect, regulated the sale of alcohol in *other* States. *E. g.*, *Brown-Forman Distillers Corp.* v. *New York State Liquor Authority*, 476 U. S. 573 (1986); *Healy* v. *Beer Institute*, 491 U. S. 324 (1989). But those decisions merely tracked the text of the Twenty-first Amendment, which grants States the power to regulate liquor only "for delivery or use *therein*."

The truth is, things have begun to shift only in very recent years. Bending to the same impulses that moved it at the beginning of the 20th century, this Court has lately begun flexing its dormant Commerce Clause muscles once more to strike down state laws even in core areas of state authority under §2. So, for example, in *Bacchus Imports, Ltd.* v. *Dias*, 468 U. S. 263 (1984), the Court considered Hawaii's tax exemption for certain liquor products manufactured in State. As the Court described it, Hawaii's sole "purpose" in adopting its tax exemption was "'to promote a local industry,'" not "to promote temperance." *Id.*, at 276. And a narrow majority considered this fact fatal because the law, in its judgment, did not implicate "any clear concern" of the Amendment—even though the Amendment was adopted to insulate state regulation from judicial charges of unduly interfering with interstate commerce. *Ibid.*

Yet, even under as bold a decision as *Bacchus*, Tennessee's residency requirement should survive—and easily. A residency requirement may not be the only way to ensure retailers will be amenable to state regulatory oversight, but it is surely one reasonable way of accomplishing that admittedly legitimate goal.[8] Residency also increases the odds that retailers will have a stake in the communities they serve.[9] As Judge Sutton observed in the proceedings below, this same commonsense rationale may explain why Congress requires federal court of appeals judges to live within their circuits, 28 U. S. C. § 44(c), and district court judges to live within their districts, § 134(b). *Byrd* v. *Tennessee Wine and Spirits Retailers Assn.*, 883 F. 3d 608, 633 (CA6 2018). Surely, Tennessee cannot be faulted for sharing a similar view. Of course, Tennessee's residency requirement reduces competition in the liquor market by excluding nonresidents or recent arrivals. But even that effect might serve a legitimate state purpose by increasing the price of alcohol and thus moderating its use, an objective States have always remained free to pursue under the bargain of the Twenty-first Amendment.[10]

To defend its judgment today, the Court is thus left to try to wring support from our 2005 decision in *Granholm*. *Granholm* extended *Bacchus* and its reasoning to strike down on dormant Commerce Clause grounds a state law for disfavoring out-of-state wine producers, holding that "Section 2 does not allow States to regulate the direct shipment of wine on terms that discriminate in favor of in-state *producers*." 544 U. S., at 476 (emphasis added). But even this

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[8] See *Southern Wine & Spirits of Am., Inc.* v. *Division of Alcohol and Tobacco Control*, 731 F. 3d 799, 811 (CA8 2013) (Colloton, J.); *Hinebaugh* v. *James*, 119 W. Va. 162, 164, 192 S. E. 177, 179 (1937); *Welsh* v. *State*, 126 Ind. 71, 78, 25 N. E. 883, 885 (1890); Note, 72 Harv. L. Rev., at 1148.

[9] See *Byrd* v. *Tennessee Wine and Spirits Retailers Assn.*, 883 F. 3d 608, 633 (CA6 2018) (Sutton, J., concurring in part and dissenting in part); *Southern Wine & Spirits*, 731 F. 3d, at 811.

[10] See Brief for U. S. Alcohol Policy Alliance et al. as *Amici Curiae* 5–24; Lawson, The Future of The Three-Tiered System as a Control of Marketing Alcoholic Beverages, in Social and Economic Control of Alcohol 32–34 (C. Jurkiewicz & M. Painter eds. 2008); 883 F. 3d, at 634 (opinion of Sutton, J.); cf. *44 Liquormart, Inc.* v. *Rhode Island*, 517 U. S. 484, 504 (1996) (plurality opinion) (acknowledging a State's legitimate interest in "reducing alcohol consumption").

holding doesn't spell doom for Tennessee's retailer residency requirements. As even the Court today acknowledges, "*Granholm* repeatedly spoke of discrimination against out-of-state products and producers" and did not refer more generally to discrimination against nonresidents. *Ante*, at 534.[11]

To claim *Granholm*'s support, the majority is thus forced to characterize *Granholm*'s framing of the issue before it as purely incidental—the state laws at issue there happened to discriminate against out-of-state products, so the Court just happened to talk a lot about products. As the Court seems to read *Granholm*, then, it really meant to disapprove *any* discrimination against out-of-staters. But this badly misreads *Granholm*. The distinction between producers and other levels of the distribution system was integral to its reasoning and result—in fact, it was precisely how *Granholm* sought to reconcile its result with the longstanding tradition of state residency requirements. So yes, *Granholm* held that the Twenty-first Amendment does not protect laws that discriminate against out-of-state products, but it *also* expressly reaffirmed the " 'unquestionabl[e] legitima[cy]' " of state laws that require " 'all liquor sold for use in the State [to] be purchased from a licensed in-state wholesaler.' " 544 U. S., at 489 (quoting *North Dakota* v. *United States*, 495 U. S. 423, 432 (1990); *id.*, at 447 (Scalia, J., concurring in judgment)). And I would have thought that restatement of the law more than enough to resolve today's case.

Having now effectively abandoned *Granholm*'s distinction between products and their distribution and promising to subject both to dormant Commerce Clause scrutiny, it's hard not to wonder what's left of Webb-Kenyon and §2. For its part, the Court assures us that it will still allow each State

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[11] See also *Granholm*, 544 U. S., at 486 ("States may not give a discriminatory preference to their own producers"); *id.*, at 484–485 ("The Amendment did not give States the authority to pass nonuniform laws in order to discriminate against out-of-state goods, a privilege they had not enjoyed at any earlier time").

"leeway to enact the measures that *its citizens believe* are appropriate" to address public health and safety. *Ante*, at 538 (emphasis added). Yet the Court then proceeds to turn around and dismantle the longstanding judgment of the citizens of Tennessee on just these questions, dismissing them as "protectionist measures with no demonstrable connection" to public health and safety. *Ibid.* And it promises it will not sustain any state law whose protectionist "effect[s] . . . predomina[te]." *Ante*, at 539.

What are lower courts supposed to make of this? How much public health and safety benefit must there be to overcome this Court's worries about protectionism "predominat[ing]"? Does reducing competition in the liquor market, raising prices, and thus reducing demand still count as a public health benefit, as many States have long supposed? And if residency requirements are problematic, what about simple physical *presence* laws? After all, can't States "thoroughly investigate applicants" for liquor licenses without requiring them to have a brick-and-mortar store in the State? *Ante*, at 540. The Court offers lower courts no more guidance than to proclaim delphically that "each variation must be judged based on its own features." *Ante*, at 535.

As judges, we may be sorely tempted to "rationalize" the law and impose our own free-trade rules for all goods and services in interstate commerce. Certainly, that temptation seems to have proven nearly irresistible for this Court when it comes to alcohol. And as Justice Cardozo once observed, "an intellectual passion . . . for symmetry of form and substance" is "an ideal which can never fail to exert some measure of attraction upon the professional experts who make up the lawyer class." B. Cardozo, The Nature of the Judicial Process 34 (1921). But real life is not always so tidy and satisfactory, and neither are the democratic compromises we are bound to respect as judges. Like it or not, those who adopted the Twenty-first Amendment took the view that reasonable people can disagree about the costs and benefits of free trade in alcohol. They left us with clear instructions that the free-trade rules this Court has devised for "cabbages and candlesticks" should not be applied to alcohol. *Carter* v. *Virginia*, 321 U. S. 131, 139 (1944) (Frankfurter, J., concurring). Under the terms of the compromise they hammered out, the regulation of alcohol wasn't left to the imagination of a committee of nine sitting in Washington, D. C., but to the judgment of the people themselves and their local elected representatives. State governments were supposed to serve as "laborator[ies]" of democracy, *New State Ice Co.* v. *Liebmann*, 285 U. S. 262, 311 (1932) (Brandeis, J., dissenting), with "broad power to regulate liquor under § 2," *Granholm*, 544 U. S., at 493. If the people wish to alter this arrangement, that is their sovereign right. But until then, I would enforce the Twenty-first Amendment as they wrote and originally understood it.

Syllabus

KISOR *v.* WILKIE, SECRETARY OF VETERANS AFFAIRS

CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE FEDERAL CIRCUIT

No. 18–15. Argued March 27, 2019—Decided June 26, 2019

Petitioner James Kisor, a Vietnam War veteran, first sought disability benefits from the Department of Veterans Affairs (VA) in 1982, alleging that he had developed post-traumatic stress disorder from his military service. The agency denied his initial request, but in 2006, Kisor moved to reopen his claim. The VA this time agreed he was eligible for benefits, but it granted those benefits only from the date of his motion to reopen, not (as Kisor had requested) from the date of his first application. The Board of Veterans' Appeals—a part of the VA—affirmed that retroactivity decision, based on its interpretation of an agency rule governing such claims. The Court of Appeals for Veterans Claims affirmed.

The Federal Circuit also affirmed, but it did so by applying a doctrine called *Auer* (or sometimes, *Seminole Rock*) deference. See *Auer* v. *Robbins*, 519 U. S. 452; *Bowles* v. *Seminole Rock & Sand Co.*, 325 U. S. 410. Under that doctrine, this Court has long deferred to an agency's reasonable reading of its own genuinely ambiguous regulations. The Court of Appeals concluded that the VA regulation at issue was ambiguous, and it therefore deferred to the Board's interpretation of the rule. Kisor now asks the Court to overrule *Auer*, as well as its predecessor *Seminole Rock*, discarding the deference those decisions give to agencies.

Held: The judgment is vacated and remanded.

869 F. 3d 1360, vacated and remanded.

Justice Kagan delivered the opinion of the Court with respect to Parts I, II–B, III–B, and IV, holding that *Auer* and *Seminole Rock* are not overruled. Pp. 573–580, 586–590.

(a) This Court's deference doctrine is rooted in a presumption that Congress intended for courts to defer to agencies when they interpret their own ambiguous rules. The Court adopts that presumption for a set of reasons related to the comparative attributes of courts and agencies in answering interpretive questions. But when the reasons for the presumption do not hold up, or when countervailing reasons outweigh them, courts should not give deference to an agency's reading. The Court has thus cabined *Auer*'s scope in varied and critical ways.